

TABLE 1
CUSTOM DUTY ANNOUNCEMENTS FOR ESDM SECTOR

Item	Exist. BCD (%)	Updated BCD (%)	Notif./Finance Bill Clause
Camera lens for camera module and Input/sub parts for lens of camera module (mobile phone)	2.5	Nil	Notification No. 6/2023, Serial No. 3
Parts for manufacture of open cells of TV panels	5.0	Nil	Notification No. 2/2023, Serial No. 33
Capital goods and machinery required for manufacture of lithium-ion cells for batteries used in electric vehicles	7.5	Nil	Notification No. 6/2023, Serial No. 2
Palladium Tetra Amine Sulphate for manufacture of parts of connectors	7.5	Nil	Notification No. 6/2023, Serial No. 1
Specified chemicals/items for manufacture of Pre-calcined Ferrite Powder	7.5	Nil	Notification No. 6/2023, Serial No. 17

(Courtesy: ICEA)

As per Jyoti Pal, Associate Partner at Lakshmikumar & Sridharan, "Some changes have been made in Tariff Heading 8524 of the Customs Tariff Act. Separate tariff items have been added for flat panel display modules for certain categories of ADPM (Computers), mobile phones, television sets/ LCDs, and residual categories for others. Tariff Heading 8517 has also been amended."

outlay of ₹2,400 billion for railways and announcements for 50 additional airports, helipads, water aero drones, etc.

- Pushing for a reduced digital divide, labs for 5G applications, classrooms, precision farming, and healthcare applications will be set up, and the scope of Digilocker will be expanded.
- Receiving a significant filip after the lockdown, phase 3 of E-courts projects is to be launched with an outlay of ₹70 billion.
- This year, three Centres of Excellence for AI, and other advanced emerging technologies will be set up.
- The Budget also touched upon the aspect of skill development in Industry 4.0, robotics, drones, and related industries.
- The government reduced the basic customs duty (BCD) on certain parts, such as camera lenses, while concessional duty will continue on lithium-ion cells for another year.
- Agriculture Accelerator fund to be set up for encouraging innovative startups to bring affordable rural ideas to fruition.

Changes to be noted

- Substitution/Amendment in Tariff Heading 8517—Information

Technology Agreement, 1996—motivated in Supporting Manufacturing of Electronics.

- Expansion in the scope of Tariff Heading 8524: Separate tariff items have been added for flat panel display modules for certain categories of ADPM, mobile phones, television sets/LCDs, and residual categories for others.

- The scope of exemption expanded to include capital goods used for manufacturing the batteries for electrically operated vehicles.
- Reduction in the customs duty rate on components used in the manufacture of open cell of TV panels.
- Reduction in effective customs duty on the camera lens and sub-parts/inputs used in the manufacture of mobile phone camera modules.

Positive steps

The industry associations have welcomed the following steps announced in the Budget:

1. Removal of duty of camera

Pratik Kamdar, Co-founder of Neuron Energy, a player in the battery industry remarked: "The Customs Duty exemption on capital goods and machinery to manufacture lithium-ion will be a facilitator for the country to transition to sustainable and eco-friendly mobility. The exemption will have a domino effect on the overall sector with the over substantial decrease in the overall cost of the finished products, wherein the battery packs are likely to reduce by 5% coupled with lower initial investments. Additionally, the vehicle scrapping policy will also be beneficial if the old vehicles are replaced by electric vehicles. This will further aid in the country's vision of mass EV adoption by 2030."

lens of 2.75 %

2. Removal of duty on inputs to parts of connectors—palladium tetra amine sulphate

3. Reduction of BCD on parts of the open cell of the TV panel from 5.5 % to 2.75 % (including SWS)

4. Continuation of customs exemption notifications, which were facing the sunset on the 31st of March 2023, for another year

5. Customs duty exemption for the import of machinery required for the manufacture of lithium-ion cells for batteries used in EVs

6. Reduction of BCD on specific parts used in the manufacturing of television sets to 2.5 %

7. Reclassification in HS Codes 8517 and 8524 for flat panel display inputs

8. Relief on customs duty on import of certain parts used in the manufacturing of mobile phones

9. Rectification of inverted duty structure to encourage manufacturing of electric kitchen chimneys

Gaps

Notwithstanding the beneficial steps announced on February 1, the Budget left many long-standing demands unfulfilled, despite repeated requests put up by industry bodies and individual companies.

According to the Chairman of India Cellular & Electronics Association, Pankaj Mohindroo, "A high-performing sector's genuine requests have not been addressed. These could have provided a significant impact on competitiveness leading to better exports, arresting the grey market and boosting revenue." He pointed out the below-mentioned issues:

1. Capping of BCD on import of